RAM ENTERPRISE P&P – 03_LEASING

Document quality

Item	Details
Organization	RAM Governance Portal
Document Title	03_LEASING
Document Code	RAM-PROC-013
Process Area	03_LEASING
Document Type	Procedure
Version	1.0
Effective Date	01 Jan 2026
Review Cycle	Annual
Owner	Head of FM
Approved By	CEO / Board
Prepared By	Governance Office
Classification	Internal
Next Review	Jan 2027

Revision History

Version	Date	Author	Changes
1.0	01 Jan 2026	Governance Office	Initial Issue

Distribution List

Department	Access
Board	Full
Management	Full
Departments	Relevant sections

Document Hierarchy

```
Level 1 – Policy
Level 2 – Procedure
Level 3 – Work Instruction
Level 4 – Forms / Templates
```

Contents

RAM ENTERPRISE P&P – 03_LEASING 1
03_LEASING 4
03.1 Leasing Strategy & Portfolio Planning 4
03.1.1 Leasing Policy 4
03.1.1.1 Leasing Objectives 4
03.1.1.2 Portfolio Segmentation 4
03.1.1.3 Rental Strategy 4
03.1.1.4 Delegation of Authority (DoA) 4
03.2 Tenant Acquisition & Marketing 5
03.2.1 Tenant Targeting Procedure 5
03.2.1.1 Lead Generation 5
03.2.1.2 Tenant Pre-Screening 5
03.2.1.3 Tenant Risk Rating 5
03.3 Lease Structuring & Negotiation 5
03.3.1 Commercial Terms Structuring 5
03.3.1.1 Core Lease Terms 5
03.3.1.2 Financial Modeling 5
03.3.1.3 Incentives Governance 6
03.4 Lease Approval & Contracting 6
03.4.1 Lease Approval Workflow 6
03.4.1.1 Internal Review 6
03.4.1.2 Risk & Compliance Check 6
03.4.1.3 Approval Committee 6
03.4.1.4 Contract Execution 6
03.5 Lease Administration & Monitoring 7
03.5.1 Lease Setup Procedure 7
03.5.1.1 ERP Registration 7
03.5.1.2 Billing & Collection 7
03.5.1.3 Deposit Management 7
03.6 Lease Performance & Renewal 7
03.6.1 Performance Monitoring 7
03.6.1.1 KPI Tracking 7
03.6.1.2 Tenant Evaluation 8
03.6.1.3 Renewal Decision Matrix 8

03.7 Termination & Exit Management 8
03.7.1 Lease Termination Procedure 8
03.7.1.1 Expiry Process 8
03.7.1.2 Early Termination 8
03.7.1.3 Unit Handover 8
03.8 Leasing Risk & Control Matrix (Aligned with COSO & ISO 37301) 9
03.9 BPMN Logical Flow (Textual Representation) 9
Integration Points with Other RAM Sections 9

03_LEASING

(RAM Policies & Procedures Manual – WBS Structured Framework)

This section is structured in full WBS coding aligned with governance logic, risk control, and operational traceability (ready for integration with 01_Governance and 02_Investment).

03.1 Leasing Strategy & Portfolio Planning

03.1.1 Leasing Policy

Purpose:
Define leasing objectives, tenant mix philosophy, pricing approach, and risk thresholds.

03.1.1.1 Leasing Objectives

- Revenue maximization vs. occupancy optimization
- Target occupancy rate (%)
- WALE (Weighted Average Lease Expiry) target
- Tenant credit quality threshold

03.1.1.2 Portfolio Segmentation

- Asset class (Retail / Office / Mixed-use / Industrial)
- Tenant category (Anchor / SME / Corporate / Government)
- Geographic clustering strategy

03.1.1.3 Rental Strategy

- Market benchmarking mechanism
- Indexation rules
- Turnover-based leasing policy
- Incentive framework (fit-out period, rent-free, step-up rent)

03.1.1.4 Delegation of Authority (DoA)

- Leasing Manager approval limit
- Leasing Committee approval threshold
- Board approval threshold

Forms:

- F03.1 Leasing Strategy Approval Form
- F03.2 Market Benchmark Template

03.2 Tenant Acquisition & Marketing

03.2.1 Tenant Targeting Procedure

03.2.1.1 Lead Generation

- Brokerage engagement
- Direct outreach
- Digital listing platforms

03.2.1.2 Tenant Pre-Screening

- Business profile review
- Financial strength check
- Reputation assessment
- Strategic fit scoring

03.2.1.3 Tenant Risk Rating

- Credit score classification (A/B/C/D)
- Industry exposure cap
- Concentration ratio analysis

Forms:

- F03.3 Tenant Application Form
- F03.4 Tenant Risk Assessment Matrix

03.3 Lease Structuring & Negotiation

03.3.1 Commercial Terms Structuring

03.3.1.1 Core Lease Terms

- Lease duration
- Rental rate (base + variable)
- Escalation clause
- Security deposit
- Fit-out contribution

03.3.1.2 Financial Modeling

- IRR impact
- NPV calculation
- Sensitivity (vacancy, default risk)
- Cashflow forecast impact

03.3.1.3 Incentives Governance

- Rent-free approval process
- Cap on incentives (% of lease value)
- Payback analysis

Forms:

- F03.5 Lease Commercial Terms Sheet
- F03.6 Lease Financial Impact Sheet

03.4 Lease Approval & Contracting

03.4.1 Lease Approval Workflow

03.4.1.1 Internal Review

- Leasing Manager sign-off
- Legal review
- Finance validation

03.4.1.2 Risk & Compliance Check

- AML screening
- Sanctions list check
- Regulatory compliance validation

03.4.1.3 Approval Committee

- Documentation pack submission
- Voting record
- Approval minutes

03.4.1.4 Contract Execution

- Contract drafting
- Signature authority verification
- Digital archiving

Forms:

- F03.7 Lease Approval Memo
- F03.8 Legal Clearance Form
- F03.9 Lease Execution Checklist

03.5 Lease Administration & Monitoring

03.5.1 Lease Setup Procedure

03.5.1.1 ERP Registration

- Tenant master file creation
- Rent schedule input
- Indexation automation

03.5.1.2 Billing & Collection

- Invoice generation cycle
- Payment monitoring
- Grace period management
- Penalty calculation

03.5.1.3 Deposit Management

- Deposit custody control
- Reconciliation
- Refund policy

Forms:

- F03.10 Lease Data Entry Form
- F03.11 Rental Collection Tracker

03.6 Lease Performance & Renewal

03.6.1 Performance Monitoring

03.6.1.1 KPI Tracking

- Occupancy rate
- Collection rate
- WALE
- Tenant turnover ratio

03.6.1.2 Tenant Evaluation

- Payment behavior score
- Strategic value score
- ESG compliance (if applicable)

03.6.1.3 Renewal Decision Matrix

- Market revaluation
- Repricing scenario
- Retention vs replacement analysis

Forms:

- F03.12 Lease Performance Dashboard
- F03.13 Renewal Recommendation Memo

03.7 Termination & Exit Management

03.7.1 Lease Termination Procedure

03.7.1.1 Expiry Process

- Notice timeline tracking
- Inspection checklist
- Reinstatement validation

03.7.1.2 Early Termination

- Penalty calculation
- Legal claim evaluation
- Asset recovery plan

03.7.1.3 Unit Handover

- Snag list
- Damage assessment
- Deposit adjustment

Forms:

- F03.14 Termination Notice Template
- F03.15 Handover Inspection Report

03.8 Leasing Risk & Control Matrix (Aligned with COSO & ISO 37301)

Risk ID	Risk Description	Control Type	Control Owner	Frequency	Evidence
L-01	Leasing below market	Preventive	Leasing Manager	Per deal	Benchmark report
L-02	Tenant default	Preventive	Finance	Quarterly	Credit review
L-03	Unauthorized incentive	Preventive	Leasing Committee	Per approval	Approval memo
L-04	Contract legal gap	Preventive	Legal Dept	Per contract	Legal clearance
L-05	Revenue leakage	Detective	Finance	Monthly	Collection report

---

03.9 BPMN Logical Flow (Textual Representation)

```
Lead Generated → Tenant Screening → Risk Rating →
Commercial Structuring → Financial Modeling →
Internal Review → Committee Approval →
Contract Execution → ERP Setup → Billing → Monitoring →
Renewal or Termination
```

Integration Points with Other RAM Sections

- Linked to **02_Investment** → Rental assumptions in asset valuation
- Linked to **04_Facility_Management** → Tenant operational coordination
- Linked to **06_Performance** → Revenue & occupancy KPIs
- Linked to **07_Risk_Compliance** → AML & legal compliance

Forms and templates

End of Document